3.4.5 Inventory control

Unit 3.4 Operational management · 8 key points

- **Inventory control chart:** shows stock levels over time
- **Lead time:** time between ordering and receiving stock
- **Re-order level:** stock level at which a new order is placed
- **Buffer inventory:** minimum stock kept for emergencies
- **Re-order quantity:** amount ordered each time
- **Maximum stock:** buffer inventory + re-order quantity
- **Holding too much stock:** ties up cash, storage costs, risk of waste
- **Holding too little stock:** risk of running out and losing sales